

IFX: Infineon Technologies AG

Multiple Compression · Earnings Reversal · Structural Tailwinds

LTM P/E	NTM P/E	EPS CAGR 2Y Fwd	GAAP EPS YoY 26E
93.58x	35.03x	+36.0%	+66.9%
Trailing — trough	Steep compression	Reversal ahead	FY2025 → 2026
Value Rank	Growth Rank	Mom 12M	Net Debt/EBITDA
21/100	86/100	+121.2%	1.00x
EU universe	TOP GROWTH	Price return	2026E vs 1.38x now

INFINEON TECHNOLOGIES — AN EARNINGS REVERSAL PLAY

A trailing P/E of 93.58x on a mature European semiconductor stock usually screams overvalued to basic retail screeners. But quantitative models and institutional capital don't trade in the rearview mirror. Looking at the forward estimates for Infineon Technologies (IFX), we are witnessing a textbook example of massive multiple compression driven by an operational turnaround — which explains the **+121.2% price return** over the last year. With a **Growth Score of 86/100**, IFX qualifies as a **Top Growth** name in our European universe.

1 · The Earnings Reversal

The critical insight for IFX is understanding the transition from cyclical trough to structural recovery. The historical 3-year EPS CAGR of -11.0% reflects the severe semiconductor down-cycle of 2022–2024 driven by inventory corrections across the automotive and industrial segments. That cycle has now turned.

- **EPS Acceleration:** Forward 2-Year EPS CAGR of **+36.0%** — a 47-percentage-point swing from the historical trough, justifying the Top Growth classification.
- **Front-Loaded Inflection:** GAAP EPS **+66.9% YoY** from FY2025 to FY2026 — the acceleration is violent and concentrated in the near term.
- **Multiple Re-Rating:** The LTM P/E of 93.58x compresses to **35.03x NTM** — not overvaluation, but earnings rapidly catching up to price.

2 · Structural Tailwinds — Not a Cyclical Trade

IFX is not a pure cyclical recovery play. Two structural megatrends underpin the long-term thesis independently of the near-term earnings inflection.

- **Green Industrial Power:** IFX is the global leader in silicon carbide (SiC) power semiconductors — the critical component in EV inverters, solar inverters, and industrial motor drives. The SiC market is projected to grow at **>30% CAGR** through 2030.
- **Automotive Electrification:** Every BEV requires 2–3x the semiconductor content of an ICE vehicle. IFX captures this content increase directly through its ADAS, battery management, and powertrain chip portfolio.

3 · Capital Efficiency — Financing Growth Safely

A key concern with high-growth semiconductor companies is balance sheet discipline. IFX is addressing this proactively while continuing to invest in structural growth.

■ **Deleveraging on Track:** Net Debt/EBITDA declining from 1.38x (2025A) to **1.00x (2026E)** — actively reducing leverage while funding the SiC capacity ramp.

■ **Quality Turnaround Signal:** The combination of aggressive earnings growth and simultaneous balance sheet improvement is the hallmark of a high-quality operational recovery — not financial engineering.

The Bottom Line

True alpha is found in the transition. Trailing metrics mask forward-looking structural growth. IFX at 93.58x LTM P/E looks expensive to the rearview-mirror investor — but at 35x NTM earnings with a **+36% EPS CAGR**, a deleveraging balance sheet, and two structural megatrends acting as long-term demand drivers, the institutional case is compelling. A Growth Score of 86/100 confirms Top Growth status in our European universe. The key risks to monitor are execution on the SiC capacity ramp and any renewed inventory correction in the automotive supply chain.

IMPORTANT DISCLAIMER — NOT INVESTMENT ADVICE

This document is produced by ForwardAlpha (forwardalpha.pro) for informational and educational purposes only. It does not constitute investment advice, a solicitation, or a recommendation to buy, sell or hold any financial instrument. ForwardAlpha is not a registered investment adviser and does not provide personalised investment recommendations under MiFID II. All data and projections are sourced from third-party providers and are believed to be reliable but are not guaranteed. Past performance is not indicative of future results. Investing involves risk, including the possible loss of principal. Always conduct your own due diligence and consult a qualified financial adviser before making any investment decision. © 2026 ForwardAlpha · andrea@forwardalpha.pro · forwardalpha.pro